(v) Any income or expense relating to specific fund must not be taken to income and expenditure account.

(vi) Non-cash items such as bad debts, depreciation, loss or gain on sale of assets, etc., which are not recorded in receipts and payments account must be recorded in income and expenditure account.

(vii) The balancing figure of income and expenditure account is either surplus or deficit and will be transferred to capital fund in the balance sheet. If the total of credit side of income and expenditure account is more than the total of debit side (excess of income over expenditure), the difference represents surplus. If the total of debit side of income and expenditure account is more than the total of credit side (excess of expenditure over income), the difference represents deficit.

2.5.2 Format of Income and Expenditure Account

Name of the club / Institution

Dr. **Income and Expenditure Account for the year ended ....** **Cr.**

Expenditure	₹	Income	₹
To Salaries	xxx	By Subscription	xxx
To Charities	xxx	By Donation received	xxx
To Rent	xxx	By Admission fee received	xxx
To Donation paid	xxx	By Grant received	xxx
To Stationery	xxx	By Rent received	xxx
To Loss on sale of asset	xxx	By Interest received	xxx
To Depreciation	xxx	By Profit on sale of asset	xxx
To Surplus*	xxx	By Deficit*	xxx
(Excess of income over expenditure)		(Excess of expenditure over income)	
	xxx		xxx

* Note: The balancing figure may be either surplus or deficit.



Student activity 2.4

List down any five expenses relevant for a music club.

Illustration 6

From the following Receipts and Payment Account of Ooty Recreation Club, prepare Income and Expenditure Account for the year ended 31.03.2018.

12th-Accountancy-Unit-02.indd 50 12/9/2021 10:48:24 PM